GALIFORM CORPORATE SERVICES LIMITED
(formerly known as MFI UK Limited)

DIRECTORS' REPORT AND FINANCIAL STATEMENTS

FOR THE 52 WEEKS ENDED 24 DECEMBER 2005

REGISTERED NUMBER: 1767386

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GALIFORM CORPORATE SERVICES LIMITED

DIRECTORS' REPORT

The directors have pleasure in submitting their report and the audited financial statements of the Company for the 52 weeks ended 24 December 2005.

PRINCIPAL ACTIVITY

The principal activity of the Company is the manufacture and supply of kitchen and bedroom furniture and the sale of household furniture from retail outlets.

RESULTS AND DIVIDENDS

The result for the financial year as shown in the profit and loss account on page 5 amounted to a loss of £212,635,000 *(2004: loss of £72,991,000)*. The directors recommend that no dividend be paid *(2004: £nil)*.

REVIEW OF THE BUSINESS AND FUTURE PROSPECTS

On 8 July 2006, the retail and manufacturing assets and related trades were transferred out of MFI UK Limited as part of a group reorganisation at market value. MFI UK Limited continues to provide management services to other parts of the group.

DIRECTORS

The directors of the Company who served throughout the year, except as noted, were:

J M Hancock (resigned 03/10/2005)
C R Wilson (resigned 05/04/2006)
M Horgan (resigned 19/05/2006)
M Ingle
J McManus
T Nealon (resigned 26/04/2006)
S Walker (resigned 20/01/2006)
M Robson (appointed 12/04/05)

Beneficial interests of the directors, including family interests, in the share capital of the ultimate holding company, MFI Furniture Group Plc at 24 December 2005 and 25 December 2004 are disclosed in the accounts of that Company, except for those interests shown below.

	At 24 December 2005 Ordinary shares of 10p each				At 25 December 2004 Ordinary shares of 10p each			
	Shares in issue	Share options	LTIP*	ECIP**	Shares in issue	Share options	LTIP*	ECIP**
J McManus	247,817	1,357,129	377,125	937,500	247,817	1,135,267	468,118	937,500
T Nealon	-	-	-	-	100,012	873,974	468,118	-
S Walker	287,000	1,143,030	429,657	1,060,854	591,282	873,780	547,855	1,060,854

* Conditional share award under share performance plan
** Under the terms of the Executive Co-Investment Plan, J McManus and S Walker receive conditional matching awards consisting of two matching shares and two market value matching options for each share committed by them to the plan.

In addition J McManus has an award of 43,982 shares which were awarded under an Annual Incentive and Deferred Incentive Plan. These shares were awarded on 28 February 2003, and will be held in trust for three years before release to J McManus.

DIRECTORS' REPORT (Cont'd)

Under the same plan, S Walker has 49,769 shares which were awarded 3 March 2003 and will be held in trust for three years before release to S Walker.

The options outstanding are exercisable at prices between 103p and 106.5p.

FINANCIAL RISK MANAGEMENT

The company ceased to use derivatives to manage its financial risks during the year. The most important components of financial risk are interest rate risk, currency risk, credit risk, liquidity risk, cash flow risk and price risk. Due to the nature of the company's business and the assets and liabilities contained within the company's balance sheet, the only financial risk the directors consider relevant to this company is liquidity risk. This risk is mitigated by ultimate parent company support.

SUPPLIER PAYMENT POLICY

It is the Company's policy, in relation to all its suppliers, to settle its terms of payment when agreeing the terms of the transaction and to abide by those terms provided that it is satisfied that the supplier has provided the goods or services in accordance with agreed terms and conditions. The Company does not follow any code or standard on payment practice, but it is the Company's policy to pay all its suppliers within 30 days of the end of the month in which it receives the goods or services.

MFI UK Limited pays trade creditors on behalf of both itself and other group companies. The number of days purchases outstanding for payment when taking into account the payments both for this company and for other group companies at the period end was 23 (2004 - 52).

DISABLED PERSONS

It is the Company's policy to give full consideration to suitable applications for employment of disabled persons.

Disabled employees are eligible to participate in all career development opportunities available to staff. Opportunities also exist for employees of the Company who become disabled to continue in their employment or to be trained for other positions in the Company.

EMPLOYEE INVOLVEMENT

The Company is committed to involve all employees in the performance and development of the Company. Employees are encouraged to discuss with management matters of interest to the employees and subjects affecting day to day operations of the Company.

POLITICAL AND CHARITABLE CONTRIBUTIONS

The Company made charitable donations during the period amounting to £201,000 *(2004: £400,000)*. The company made no political donations during the current or previous period.

REGISTERED OFFICE

The company's registered office is 66 Chiltern Street, London, W1U 4JT.

STATEMENT OF DIRECTORS' RESPONSIBILITIES

United Kingdom company law requires the directors to prepare financial statements for each financial period, which give a true and fair view of the state of affairs of the Company as at the end of the period and of the profit or loss of the Company for that period. In preparing those financial statements the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether applicable accounting standards have been followed, subject to any material departures disclosed and explained in the financial statements; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business.

The directors are responsible for keeping proper accounting records which disclose with reasonable accuracy at any time the financial position of the Company and to enable them to ensure that the financial statements comply with the Companies Act 1985. They are also responsible for the system of internal control, for safeguarding the assets of the company and hence for taking responsible steps for the prevention and detection of fraud and other irregularities.

AUDITORS

A resolution proposing to re-appoint Deloitte & Touche LLP will be proposed at the forthcoming Annual General Meeting.

By Order of the Board

G M Hughes
Secretary

26 January 2007

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF GALIFORM CORPORATE SERVICES LIMITED

We have audited the financial statements of Galiform Corporate Services Limited for the 52 week period ended 24 December 2005 which the profit and loss account, the balance sheet, the statement of total recognised gains and losses, the note of historical cost profits and losses, the reconciling of movement in total shareholders (deficit)/funds and the related notes 1 to 21. These financial statements have been prepared under the accounting policies set out therein.

This report is made solely to the company's members, as a body, in accordance with section 235 of the Companies Act 1985. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditors' report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed.

Respective responsibilities of directors and auditors

As described in the statement of directors' responsibilities the company's directors are responsible for the preparation of the financial statements in accordance with applicable law and United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice).

Our responsibility is to audit the financial statements in accordance with relevant United Kingdom legal and regulatory requirements and International Standards on Auditing (UK and Ireland).

We report to you our opinion as to whether the financial statements give a true and fair view, in accordance with the relevant financial reporting framework, and are properly prepared in accordance with the Companies Act 1985. We also report to you if, in our opinion, the directors' report is not consistent with the financial statements, if the company has not kept proper accounting records, if we have not received all the information and explanations we require for our audit, or if information specified by law regarding directors' remuneration and other transactions is not disclosed.

We read the directors' report for the above 52 week period and consider the implications for our report if we become aware of any apparent misstatements or material inconsistencies with the financial statements.

Basis of audit opinion

We conducted our audit in accordance with International Standards on Auditing (UK and Ireland) issued by the Auditing Practices Board. An audit includes examination, on a test basis, of evidence relevant to the amounts and disclosures in the financial statements. It also includes an assessment of the significant estimates and judgements made by the directors in the preparation of the financial statements, and of whether the accounting policies are appropriate to the company's circumstances, consistently applied and adequately disclosed.

We planned and performed our audit so as to obtain all the information and explanations which we considered necessary in order to provide us with sufficient evidence to give reasonable assurance that the financial statements are free from material misstatement, whether caused by fraud or other irregularity or error. In forming our opinion we also evaluated the overall adequacy of the presentation of information in the financial statements.

Opinion

In our opinion:

- the financial statements give a true and fair view, in accordance with United Kingdom Generally Accepted Accounting Practice, of the state of the company's affairs as at 24 December 2005 and of its loss for the year then ended; and
- the financial statements have been properly prepared in accordance with the Companies Act 1985.

Deloitte & Touche LLP
Chartered Accountants and Registered Auditors
London

30 January 2007

GALIFORM CORPORATE SERVICES LIMITED
(formerly known as MFI UK Limited)

PROFIT AND LOSS ACCOUNT

FOR THE 52 WEEKS ENDED 24 DECEMBER 2005

		52 weeks to 24 December 2005			52 weeks to 25 December 2004		
	Notes	Before Exceptional Items £'000	Exceptional Items (note 4) £'000	Total 2005 £'000	Before Exceptional Items £'000	Exceptional Items (note 4) £'000	Total 2004 £'000
Turnover	2	777,998	-	777,998	801,062	-	801,062
Cost of sales		(316,739)	(34,000)	(350,739)	(330,887)	(2,300)	(333,187)
Gross profit		461,259	(34,000)	427,259	470,175	(2,300)	467,875
Selling and administrative costs		(619,778)	(41,412)	(661,190)	(539,443)	(31,600)	(571,043)
Operating loss	3	(158,519)	(75,412)	(233,931)	(69,268)	(33,900)	(103,168)
Provision for closure costs		-	(9,307)	(9,307)	-	(2,000)	(2,000)
Loss/(profit) on disposal of fixed assets		-	(736)	(736)	1,226	-	1,226
Loss on ordinary activities before interest and taxation		(158,519)	(85,455)	(243,974)	(68,042)	(35,900)	(103,942)
Interest receivable and similar income		1,605	-	1,605	842	-	842
Interest payable and similar charges		(49)	-	(49)	(117)	-	(117)
Loss on ordinary activities before taxation		(156,963)	(85,455)	(242,418)	(67,317)	(35,900)	(103,217)
Tax credit on loss on ordinary activities	7	22,983	6,800	29,783	20,056	10,170	30,226
Loss on ordinary activities after taxation		(133,980)	(78,655)	(212,635)	(47,261)	(25,730)	(72,991)

The results for the 52 week period ended 24 December 2005 and the prior period are derived from continuing operations.

The notes on pages 8 to 18 form part of these financial statements.

GALIFORM CORPORATE SERVICES LIMITED
(formerly known as MFI UK Limited)

BALANCE SHEET AT 24 DECEMBER 2005

	Notes	24 December 2005 £000	24 December 2005 £000	25 December 2004 (*Restated) £000	25 December 2004 (*Restated) £000
Fixed assets					
Tangible assets	8		91,558		172,475
Investments	9		93,833		79,799
			185,391		252,274
Current assets					
Stocks	10	102,705		160,841	
Debtors	11	115,104		1,041,037	
Cash at bank		667		-	
		218,476		1,201,878	
Creditors : amounts falling due within one year					
Bank overdraft	12	-		(298)	
Creditors	12	(644,680)		(1,477,713)	
		(644,680)		(1,478,011)	
Net current liabilities			(426,204)		(276,133)
Total assets less current liabilities			(240,813)		(23,859)
Creditors : amounts falling due after more than one year					
Provisions for liabilities and charges	13		-		(4,257)
Net liabilities			(240,813)		(28,116)
Capital and reserves					
Share capital	15		12,358		12,358
Profit and loss account	16		(253,171)		(40,474)
Equity shareholders' deficit			(240,813)		(28,116)

*Restated for FRS 17 – see note 19

Approved by the Board of Directors on 26 January 2007

M Robson
Director

The notes on pages 8 to 18 form part of these financial statements.

GALIFORM CORPORATE SERVICES LIMITED
(formerly MFI UK Limited)

STATEMENT OF TOTAL RECOGNISED GAINS AND LOSSES

FOR THE 52 WEEKS ENDED 24 DECEMBER 2005

	24 Dec 2005 £000	25 Dec 2004 £000
For the financial year	**(212,635)**	(72,991)
Foreign exchange loss	**(62)**	(871)
Prior year adjustment*	-	4,082
Total recognised losses for the financial period	**(212,697)**	(69,780)

*Due to restatement for FRS 17 – see note 19

NOTE OF HISTORICAL COST PROFITS AND LOSSES

	24 Dec 2005 £000	25 Dec 2004 £000
Reported loss on ordinary activities before taxation	**(243,974)**	(103,217)
Difference between historical cost depreciation charge and the actual Depreciation charge for the period calculated on the revalued amount	-	55
Historical cost on ordinary activities before taxation	**(243,974)**	(103,162)
Historical cost for the year retained after taxation and dividends	**(212,635)**	(72,936)

RECONCILIATION OF MOVEMENT IN TOTAL SHAREHOLDERS' (DEFICIT)/FUNDS

	24 Dec 2005 £000	25 Dec 2004 £000
Opening equity shareholders' (deficit)/ funds	**(28,116)**	41,664
Total recognised losses for the financial period	**(212,697)**	(69,780)
Closing equity shareholders' deficit	**(240,813)**	(28,116)

The notes on pages 8 to 18 form part of these financial statements.

1. ACCOUNTING POLICIES

The accounting policies summarised below have all been applied consistently throughout the year and the preceding year.

BASIS OF PREPARATION

The financial statements are prepared in accordance with applicable United Kingdom law and accounting standards and under the historical cost convention as modified by the revaluation of certain land and buildings.

Under Financial Reporting Standard 1, the Company is exempt from the requirement to prepare a cash flow statement on the grounds that it is a wholly owned subsidiary undertaking and a consolidated cash flow statement is given in the financial statements of the parent company MFI Furniture Group Plc.

The Company is exempt from the requirement to prepare Group financial statements under S228 of the Companies Act 1985 since it is included in the consolidated financial statements of its ultimate holding company, MFI Furniture Group Plc.

Accordingly these accounts present information about the company as an individual undertaking and not its group

TURNOVER

Turnover represents the net value of goods sold or services delivered to customers excluding value added tax and other sales taxes.

FIXED ASSETS

Fixed assets are stated at cost (or valuation where applicable, see below) net of accumulated depreciation or provision for impairment. Depreciation is provided to write off the cost less any residual value of tangible fixed assets over their estimated useful lives as follows:

Plant and machinery, fixtures and fittings	10% - 25% p.a.
Motor vehicles	20% - 25% p.a.

INVESTMENTS

Trade investments and loans, and shares in subsidiary companies, are stated at cost less any provision for impairment. Investments in shares in ultimate parent are shares held by employee share ownership trusts, and are recorded at cost, including expenses, less amounts written off. Amounts written off these shares are calculated so as to charge the cost of the shares to profit and loss over the period of the underlying share options or awards.

STOCKS

Stocks are valued at the lower of cost and net realisable value.

1. ACCOUNTING POLICIES (Cont'd)

TAXATION

UK Corporation tax is provided at amounts expected to be paid/ (or recovered) using tax rules and laws that have been enacted or substantially enacted by the balance sheet date.
Deferred taxation is provided on a full provision basis, without discounting, on all timing differences which have arisen but not reversed at the balance sheet date. Except where otherwise required by Accounting Standards no timing differences are recognised in respect of:

(a) property revaluation surpluses where there is no commitment to sell the asset;
(b) gains on sale of assets where those assets have been rolled over into replacement assets; and
(c) additional tax which would arise if profits of overseas subsidiaries were distributed, and deferred tax assets to the extent that they are regarded as not likely to be recovered.

GOVERNMENT GRANTS

Government grants relating to tangible fixed assets are treated as deferred income and released to the profit and loss account over the expected useful economic lives of the assets concerned. Other grants are credited to the profit and loss account as the related expenditure is incurred.

FOREIGN CURRENCY

Transactions denominated in foreign currencies are translated into sterling and recorded at the rate of exchange ruling at the date of the transaction.

Assets and liabilities denominated in foreign currencies are translated into sterling at rates ruling at the balance sheet date. Foreign exchange profits and losses arising during the period are included in loss on ordinary activities before taxation.

LEASED ASSETS

Expenditure under operating leases is charged to the profit and loss account on a straight-line basis over the period of the lease.

PENSIONS

The Company participates in the MFI Furniture Group Retirement Benefit Scheme. This is a defined benefit multi-employer scheme. The assets and liabilities of the scheme are held separately from those of the Group. The company is unable to identify its share of the underlying assets and liabilities of the scheme and accordingly accounts for the scheme as if it were a defined contribution scheme.
This is in line with the guidance in FRS 17 relating to group defined benefit pension schemes.

For defined contribution schemes the amount charged to the profit and loss account in respect of pension costs and other post-retirement benefits is the contributions payable in the year. Differences between contributions payable in the year and contributions actually paid are shown as either accruals or prepayments in the balance sheet.

1. TURNOVER

Turnover is attributable to the principal activity of the Company and represents the amounts (excluding value added tax and other sales taxes) derived from the provision of goods and services to customers during the period.

The analysis of turnover by geographical area is as follows:

	24 Dec 2005 £000	25 Dec 2004 £000
United Kingdom	**750,038**	772,274
Other	**27,960**	28,788
	777,998	801,062

2. LOSS ON ORDINARY ACTIVITIES BEFORE TAXATION

Loss on ordinary activities before taxation is stated after charging/(crediting):

	24 Dec 2005 £000	25 Dec 2004 £000
Auditors' remuneration – audit	**245**	115
– other services	**367**	494
Depreciation and other amounts written off fixed assets	**68,887**	40,595
Movement in depreciation within stocks	**2,400**	91
Hire of plant and machinery – operating lease rentals	**13,313**	13,238
Rent payable on property	**81,289**	76,514
Government grants	**(25)**	(63)

3. EXCEPTIONAL ITEMS

(a) Loss on disposal of fixed assets

The loss on disposal of fixed assets of £736,000 *(2004: profit of £1,266,000)* represents net losses on disposal of plant and machinery, and fixtures and fittings. The associated tax charge is £nil (2004: £nil).

(b) Exceptional items included in operating profit

The exceptional expense items of £75,412,000 included in the operating loss *(2004: £33,900,00)* are made up as follows:

Item	24 Dec 2005 £000	25 Dec 2004 £000
Write off elements of the supply chain computer system capitalised in prior years	14,945	10,300
Write off elements of 2004 spend on supply chain computer system	-	9,700
Impairment of capital refit costs	40,000	-
Additional delivery and associated remedial costs	5,100	11,100
Additional staff and consultancy costs	-	5,200
Reduction in pension liabilities following acceptance of cash offer	(26,733)	-
Restructuring cost	3,400	-
Stock write-off	34,000	2,300
Credit re. share-based payments amortisation and associated National Insurance (see Note 5)	(1,800)	(4,700)
Costs of closure – Hygena @ Currys	6,500	-
Total exceptional costs before tax	**75,412**	33,900
Tax credit on operating exceptional items at 30%	(6,800)	(10,170)
Total operating exceptional items, after tax	**68,612**	23,730

4. EXCEPTIONAL ITEMS (Continued)

These pre-tax costs are included within profit and loss account headings as follows:

P&L account heading	24 Dec 2005 £000	25 Dec 2004 £000
Cost of sales	34,000	2,300
Selling and administrative costs	41,412	31,600
	75,412	33,900

5. STAFF NUMBERS AND COSTS

The average number of persons (excluding directors) employed by the Company during the period was:

	24 Dec 2005 No.	25 Dec 2004 No.
Management and administration	516	440
Production, distribution and sales	7,598	7,509
	8,114	7,949

The aggregate payroll costs of these persons were as follows:

	24 Dec 2005 £000	25 Dec 2004 £000
Wages and salaries	211,749	222,747
Social security costs	15,846	10,978
Other pension costs	25,858	12,943
	253,453	246,668

The numbers above include a net credit of £1.0m *(2004:£3.7m)* in respect of share incentive schemes in 2005. The £1.0m is a net credit in respect of share scheme amortisation comprising a release of £2.8m in respect of previous years' amortisation on shares that are not expected to vest *(2004: £5.7m)*, and a current charge of £1.8m in respect of schemes which are expected to vest *(2004:£2.0m)*. In addition, there is a net release of related National Insurance of £0.8m *(2004: £1.0m)*. Taken together, the net £1.0m and £0.8m give the net exceptional operating credit of £1.8m *(2004:£4.7m)*, which is further analysed in Note 4.

6. REMUNERATION OF DIRECTORS

The emoluments of the directors were as follows:

	24 Dec 2005 £000	25 Dec 2004 £000
Directors' emoluments	2,940	2,818
Pension costs	81	80
	3,021	2,898

The aggregate emoluments of the highest paid director in the 52 weeks to 24 December 2005 were £1,012,000 *(2004: £623,000)*.

Based on normal retirement age the accrued pension of the highest paid director, should he leave employment at the end of the financial year, is £23,200 *(2004: £19,300)*. The number of directors accruing benefits under the pension scheme is seven *(2004: six)*.

7. TAX ON LOSS ON ORDINARY ACTIVITIES

	24 Dec 2005 £000	25 Dec 2004 £000
UK Corporation tax:		
Current period	**(25,949)**	(27,038)
Adjustments relating to prior periods	**423**	2,295
Current tax credit	**(25,526)**	(24,743)
Deferred taxation (note 13)	**(4,257)**	(5,483)
Tax credit on loss on ordinary activities	**(29,783)**	(30,226)

Factors affecting current period corporation tax

	2005	2004
The current corporation tax credit, as a percentage of loss on operating activities before taxation, is calculated at	10.5%	29.2%

The current period corporation tax credit for the period is lower *(2004: lower)* than the standard rate of corporation tax relief of 30% for the following reasons:

	2005 £000	2004 £000
Loss on ordinary activities before taxation for the period	**(242,418)**	(103,217)
Loss on ordinary activities before taxation for the period multiplied by the standard rate of corporation tax in the UK of 30% *(2003: 30%)*	**(72,725)**	(30,965)
Expenses not deductible for tax purposes	**20,550**	3,276
Depreciation in excess of capital allowance	**907**	3,853
Movement in short-term timing differences	**540**	(3,202)
Losses not taken	**24,779**	-
Prior period adjustments	**423**	2,295
Tax credit on loss on ordinary activities	**(25,526)**	(24,743)

Factors that may affect future tax charges
It is expected that the effective rate of corporation tax will stabilise at around 30%

8. TANGIBLE FIXED ASSETS

	Plant and machinery	Fixtures and fittings	Assets in course of construction	Total
	£000	£000	£000	£000
Cost or valuation:				
At 25 December 2004	243,219	144,296	16,820	404,335
Additions	9,116	14,918	2,122	26,156
Transfer from fellow group company	11,225	1,535	(13,655)	(895)
Disposals	(3,926)	(7,184)	-	(11,110)
At 24 December 2005	**259,634**	**153,565**	**5,287**	**418,486**
Depreciation:				
At 25 December 2004	158,575	73,285	-	231,860
Charge for the period	21,825	26,129	-	47,954
Impairment charge (note 4)	14,945	40,000	-	54,945
Disposals	(3,047)	(4,784)	-	(7,831)
At 24 December 2005	**192,298**	**134,630**	**-**	**326,928**
Net book value				
At 24 December 2005	**67,336**	**18,935**	**5,287**	**91,558**
At 25 December 2004	84,644	71,011	16,820	172,475

9. INVESTMENTS

	Shares in ultimate parent £000	Shares in subsidiary undertakings £000	Trade investments and loans £000	Total £000
Cost				
At 25 December 2004	51,017	12,833	33,855	97,705
Additions	17,800	-	9,075	26,875
Disposals/repayments	-	-	(11,862)	(11,862)
At 24 December 2005	**68,817**	**12,833**	**31,068**	**112,718**
Provisions				
At 25 December 2004	(12,817)	(5,089)	-	(17,906)
Charge for the period	(979)	-	-	(979)
At 24 December 2005	**(13,796)**	**(5,089)**	**-**	**(18,885)**
Net book value				
At 24 December 2005	**55,021**	**7,744**	**31,068**	**93,833**
At 25 December 2004	38,200	7,744	33,855	79,799

At the year end the shares in subsidiary undertakings comprised the whole of the issued share capital of Hygena Cuisines SA, a company incorporated in France. The principal activity of Hygena Cuisines SA is the sale of self assembly furniture.

On 14 February 2006, the company completed the sale of its investment in Hygena Cuisines SA, to Nobia AB for total gross cash proceeds (before expenses) of €135million (approximately £92million).

Employee Share Schemes
The Company maintains three employee share ownership trusts, which hold shares in MFI Furniture Group Plc. These are summarised as follows:

	Shareholding (No. of shares)	Value on 24 Dec 2005 £000	Dividends Waived
MFI Employee Share Trust	30,182,715	30,182,714	Yes
MFI Employee Benefit Trust	190,000	149,150	No
MFI Freeshare Trust	2,297,425	1,803,478	No
Individual nominee accounts	9,024,184	7,083,984	Some

As at 24 December 2005, 96% of the above shares were allocated to existing options awards.

The trusts have been funded by the employing companies in the Group to acquire shares in MFI Furniture Group Plc. The cost of running these trusts is included in the profit and loss account. The Trusts have undertaken the following activities:

MFI Employee Share Trust
- to transfer shares to executive directors when shares vest under the MFI Performance Share Plan
- to transfer shares to employees on exercise of various options granted under (i) an unapproved share option scheme and (ii) the MFI Performance Share Plan

MFI Employee Benefit Trust
- to transfer shares to employees under the MFI Group Profit Sharing Trust

MFI Freeshare Trust
- to transfer shares to employees when shares vest under the MFI Freeshare Plan

10. STOCKS

	24 Dec 2005 £000	25 Dec 2004 £000
Raw materials and consumables	15,762	15,633
Work in progress	7,652	9,118
Finished goods and goods for resale	79,291	136,090
	102,705	160,841

There is no material difference between the balance sheet value of stocks and their replacement cost.

11. DEBTORS

	24 Dec 2005 £000	25 Dec 2004 £000
Amounts falling due within one year:		
Trade debtors	1,556	2,924
Amounts owed by parent and fellow subsidiary undertakings	41,579	973,307
Amount owed by joint venture company : EA (UK) Home Interiors Ltd	1,084	1,012
Other debtors	291	326
Prepayments and accrued income	21,496	22,881
VAT	23,422	14,127
Corporation tax	25,676	26,460
	115,104	1,041,037

12. CREDITORS

	24 Dec 2005 £000	25 Dec 2004 £000
Amounts falling due within one year:		
Bank overdraft	-	298
Trade creditors	53,062	134,228
Amounts owed to parent and fellow subsidiary undertakings	522,884	1,254,164
Other taxes and social security	4,533	6,590
Accruals	64,163	82,668
Deferred income - government grant	38	63
	644,680	1,478,011

13. PROVISIONS FOR LIABILITIES AND CHARGES

	Pension scheme £000	Deferred taxation £000	Total £000
At 25 December 2004	**7,430**	**909**	**8,339**
Released (Prior year adjustment)	(7,430)	3,348	(4,082)
2004 Restated	-	4,257	4,257
Utilised	-	(4,257)	(4,257)
At December 2005	-	-	-

14. DEFERRED TAXATION

The deferred taxation liability provided in the accounts is as follows:

	24 Dec 2005 £000	25 Dec 2004 £000
Accelerated capital allowances	-	7,030
Other timing differences	-	(6,121)
	-	909

15. SHARE CAPITAL

	24 Dec 2005 £000	25 Dec 2004 £000
12,500 authorised ordinary shares of £1 each	**12,500**	12,500
12,358 allotted and fully paid ordinary shares of £1 each	**12,358**	12,358

16. RESERVES

Movements during the period were as follows:

	Profit and loss account £000
At 25 December 2004	(44,556)
Prior Year Adjustment (note 19)	4,082
	(40,474)
Retained loss for the financial period	(212,635)
Exchange gain	(62)
At 24 December 2005	**(253,171)**

17. FINANCIAL COMMITMENTS

At 24 December 2005 the annual commitments under non-cancellable operating leases were as set out below:

	24 Dec 2005 £000	25 Dec 2004 £000
Plant and machinery operating leases which expire:		
Within one year	**3,420**	2,097
Between two and five years	**5,267**	6,121
Over five years	**2,788**	1,677
	11,475	9,895

18. CONTINGENT LIABILITIES

The Company is a guarantor for the revolving credit facility of MFI Furniture Group PLC. As at 24 December 2005 the revolving credit facility was drawn down by £150m *(2004: £100m)*.

The Company is party to a group Value Added Tax (VAT) registration with other members of the MFI Group. It is jointly and severally liable for the VAT payable by those other group undertakings which, at 24 December 2005, amounted to £19.0m (*2004: £10.3m*).

19. PENSION SCHEME – FRS 17

The Company participates in the MFI Furniture Group Retirement Benefit Scheme. This is a defined benefit multi-employer scheme. The assets and liabilities of the scheme are held separately from those of the Group. The company is unable to identify its share of the underlying assets and liabilities of the scheme and accordingly accounts for the scheme as if it were a defined contribution scheme.

The Group has adopted FRS 17 "Retirement Benefits" in full with effect from 26 December 2004. On adopting FRS 17, the Group is required to include the assets and liabilities of these schemes on the Group balance sheet. Current service costs, curtailment and settlement gains and losses, and net financial returns are included in the profit and loss account in the period to which they relate. Actuarial gains and losses are included in the statement of total recognised gains and losses.

The Group is required to show the effect of adopting FRS 17 retrospectively and so has restated its comparative figures. Full FRS 17 disclosures together with the restatements described above are given in the financial statements of MFI Furniture Group Plc.

Contributions to the scheme are based upon actuarial advice following the most recent valuation of the fund as at 6 April 2005 and upon pension costs across the group as a whole. Details of the most recent actuarial valuation can be found in the financial statements of MFI Furniture Group Plc.

The pension charge in the year was £25,858,000 *(2004: £12,943,000)*. There were no outstanding contributions at the period end (*2004: £nil*).

The valuation of the MFI Group Retirement Benefit Scheme showed that the scheme had a market value of assets of £412m at that time and that the actuarial value of those assets represented 58% of the benefits that had accrued to the members.

The principal actuarial assumptions used are a discount rate of 4.8% per annum, rate of salary increase of 3.9% per annum, rate of increase in pensions in payment (pre 6 April 1997) of 3.0%, rate of increase in pensions in payment (post 6 April 1997) of 2.9% and an inflation rate of 2.9%.

20. ULTIMATE PARENT COMPANY AND RELATED PARTY TRANSACTIONS

The Company's immediate parent company is Orchardlight Ltd and the ultimate parent company and controlling party is MFI Furniture Group Plc, both incorporated in Great Britain and registered in England and Wales.

The largest and smallest Group in which the results of the Company are consolidated is that headed by MFI Furniture Group Plc. The consolidated accounts of this Group are available to the public and can be obtained from the Registrar of Companies, Companies Registration Office, Crown Way, Maindy, Cardiff, CF14 3UZ.

The Company is exempt under FRS8 from the requirement to disclose transactions within the Group headed by MFI Furniture Group Plc on the grounds that it is a wholly owned subsidiary.

21. POST BALANCE SHEET EVENTS

On 14 February 2006, the Group completed the sale of its French retail business, Hygena Cuisines SA a subsidiary of MFI UK Limited, to Nobia AB for total gross cash proceeds of (before expenses) of €135million (approximately £92 million).

On 17 February 2006, the Group refinanced its medium term debt and replaced it with a new 3.25 year secured facility. MFI UK Limited assets form part of the security for the debt.

On 8 July 2006, the Group reorganised the group into three distinct trading businesses, as a result the Company's retail and manufacturing operations were each transferred into separate legal sub group of subsidiaries of MFI Furniture Group Plc.

Prior to the reorganisation of the group, the Company ceased trading on thirteen store locations, three home delivery regional centres have closed and its factories at Stockton and Scunthorpe have closed.